ISSUER REVIEW · 6M2026

# Eesti Energia (Enefit)

WATCH

Estonia · Integrated energy (generation incl. oil shale and renewables, shale oil, networks via Elektrilevi, r

Watch. Eesti Energia is 100% state-owned with an investment-grade rating (Moody's Baa3, Fitch BBB-)[3,4]. But leverage is high: net debt / EBITDA 4.1x (3.6x a year earlier), and FY2025 showed an EUR 82.6m loss due to impairments[5,6]. The instrument held is a subordinated hybrid whose coupon may be deferred.

EBITDA · FY2025
**317.2** EUR m
▼ 20.3 % vs FY2024

NET DEBT / EBITDA · 6M2026
**4.1** x
▲ 0.5x vs 6M2025

NET DEBT · 6M2026
**1,224** EUR m
▲ 10.0 % vs 6M2025

EQUITY · 6M2026
**2,045** EUR m
▼ 12.3 % vs 6M2025

## Quick summary

- **Weaker quarter:** Q2 EBITDA EUR 55.7m (76.9m), net loss EUR 8.6m (profit 27.3m)[5].
- **Leverage rising:** net debt EUR 1,224m, 4.1x EBITDA (3.6x a year earlier)[5]. Undrawn credit lines EUR 420m[7].
- **Shift to renewables:** 2,257 GWh of 3,623 GWh generated from renewables in 2025 (62%, own calculation); 872 MW wind and 172 MW solar[8].
- **New Strategy 2030+ (2026-09-17):** gradual phase-out of oil shale power, up to 350 MW of cleaner dispatchable (incl. gas) capacity, separation of the power and shale oil businesses[9].

### Key facts

ISSUER RATING
Moody's Baa3 stable (2026-04-08); Fitch BBB- stable (2025-07-22); the hybrid is not rated separately in the documents read[1,2]

ANALYSIS DATE
2026-10-22

NEXT REPORT
Q3 2026 interim report - expected late October 2026

COUNTRY
Estonia

### Securities held

**Eesti Energia 7.875% perpetual subordinated hybrid**
XS2824761188 · 7.875% · perpetual
no separate rating found

## 01 Instruments held and ISINs

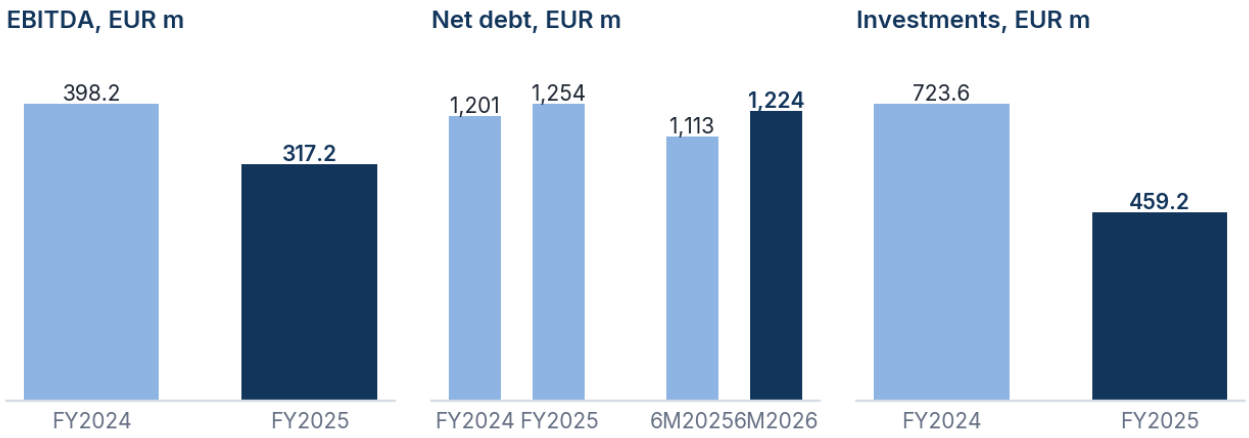
| ISIN | INSTRUMENT | COUPON | MATURITY | ISSUE RATING | NOTE |
|---|---|---|---|---|---|
| XS2824761188 | Eesti Energia 7.875% perpetual subordinated hybrid | 7.875% | perpetual | no separate rating found | Perpetual; first call 2029-07-15 |

## 02 Key ratios

| METRIC | FY2024 | FY2025 | 6M2026 | CHANGE |
|---|---|---|---|---|
| Revenue, EUR m[6,10] | 1,785.2* | 1,646.9* | 939.9* | – |
| EBITDA, EUR m[6] | 398.2* | 317.2* | – | ▼ 20.3 % vs FY2024 |
| Net profit, EUR m[6,10] | 12.9* | -82.6* | 40.5* | – |
| Investments, EUR m[6] | 723.6* | 459.2* | – | ▼ 36.5 % vs FY2024 |
| Net debt, EUR m[6,5] | 1,201* | 1,254* | 1,224* | ▲ 10.0 % vs 6M2025 |
| Net debt / EBITDA[6,5] | 3.02x* | 3.95x* | **4.1x*** | ▲ 0.5x vs 6M2025 |
| Equity, EUR m[6,5] | 2,383* | 1,993* | 2,045* | ▼ 12.3 % vs 6M2025 |
| Equity ratio[11] | – | – | **41.7%ᶜ** | – |
| Electricity generation, GWh[6] | 3,791* | 3,623* | – | ▼ 4.4 % vs FY2024 |

Colours: green change – the metric is improving, red – worsening. Latest-period cell background: green – good level, amber – average, red – weak (internal benchmarks, config/metric_rules.yaml).

* – taken from the report summary; ᶜ – own calculation. Small numbers next to text link to the source (opens the document at the cited page).




## 03 Business performance review

- **State-owned:** power and heat generation (oil shale, wind, solar), shale oil, distribution grid (Elektrilevi), retail[12,6].
- The new Enefit 280-2 shale oil plant started up in April 2026; Elektrilevi's tariff rose 3.4% from June[13].

## 04 Financials

- FY2025 revenue EUR 1,646.9m (1,785.2m), EBITDA EUR 317.2m (398.2m), loss EUR 82.6m including EUR 197.6m impairment; investments EUR 459.2m[6].
- Equity EUR 2,045m at 2026-06-30; total assets EUR 4,901m; equity ratio about 42% (own calculation)[14]. The state injected EUR 100m of equity in May 2025[15].
- Debt EUR 1,666m at 2026-06-30; a EUR 300m 4.6% green bond (2031) was issued on 2026-05-28[7].

## 05 Past plans vs outcomes

| PLAN / TARGET | OUTCOME | WHAT CHANGED AND WHY | STATUS |
|---|---|---|---|
| Phase out oil shale power generation | Strategy 2030+ says 'gradually' with no date; Moody's says 2030-2035[9,3] | No firm date in the new strategy[9]. | **In progress** |
| Emit no more than 3.6 Mt CO2 in 2024-2027 | Actual emissions not found in the reports[16] | Awaiting data[16]. | **In progress** |
| Carbon-neutral electricity by 2045 | Renewables 62% of 2025 output (own calculation)[17,6] | Part of output still comes from oil shale[6]. | **In progress** |

## 06 Investor information & conclusions

- **Instrument held:** a 7.875% perpetual subordinated hybrid, EUR 400m, issued 2024-07-15, first call 2029-07-15, annual coupon; London Stock Exchange[7].
- **Ranking:** the hybrid ranks below all other debt; Fitch treats it as 50% equity[18]. Moody's lists junior subordinated debt at B1 (the document does not say whether this is this hybrid)[19]. Coupon deferral and reset terms were not found.
- **Leverage:** 4.1x EBITDA – high; Moody's expects EUR 400-450m of EBITDA in 2026-2027 (agency forecast)[5,20]. The state has injected equity before (EUR 125m in 2020, EUR 100m in 2025)[15].
- **Conclusion:** elevated risk – high leverage and a subordinated instrument, but strong state support.

## 07 Market and environment

- **Weaker Q2:** EBITDA -28% to EUR 55.7m and a net loss of EUR 8.6m; management says the Q2 2025 frequency-service result was temporarily boosted by the market opening and has since normalised[21].
- **Competition and oil shale:** Estonian retail market share fell 4 pp to 38% on intense competition[22]; oil-shale power output fell 49% on lower market prices and imports[23].
- **Q2 market prices:** power in Estonia EUR 59.7/MWh (-1.9%), Lithuania 78.2 (+26.5%) – the Estonia-Latvia link capped Estonian prices[24]; TTF gas EUR 45.6/MWh (+28%), CO2 EUR 76.5/t, Brent USD 96.9/bbl (+45.3%)[25].
- **Strategy 2030+:** the company expects higher power-price volatility and aims to cover about two-thirds of Estonia's extra power demand by 2030, adding up to 350 MW of dispatchable capacity[9].

| | NOW | 3 MONTHS AGO | 12 MONTHS AGO | 12-MONTH CHANGE |
|---|---|---|---|---|
| ECB deposit facility rate | 2.50% (2026-09) | 2.25% | – | – |
| 3-month Euribor | 2.64% (2026-09) | 2.34% | 2.03% | ▲ 0.61 p. p. |
| 6-month Euribor | 2.92% (2026-09) | 2.60% | 2.10% | ▲ 0.82 p. p. |

| | NOW | 3 MONTHS AGO | 12 MONTHS AGO | 12-MONTH CHANGE |
|---|---|---|---|---|
| 12-month Euribor | 3.25% (2026-09) | 2.80% | 2.17% | ▲ 1.08 p. p. |
| Euro area AAA government 10-year yield | 3.43% (2026-10) | 3.23% | 2.72% | ▲ 0.71 p. p. |
| Euro area inflation (HICP, annual) | 1.90% (2025-12) | 2.20% | 2.40% | ▼ 0.50 p. p. |

Euro area rates and inflation (ECB data, end-of-month value; Euribor and inflation – monthly average). Relevant for floating-rate and reset bonds and refinancing costs.

## 08 In the press

- **Hydrogen:** on 2026-10-20 the press reported that Eesti Energia gives up EUR 24.7m (of support) and the hydrogen infrastructure will not be built[26].
- **Narva heating:** on 2026-10-06 the company received a conditional permit to heat Narva with shale oil[27].

Automatic news scan (Google News, EE), 2026-07-25 – 2026-10-23: 6 articles.

| | | |
|---|---|---|
| 2026-09-23 | MANAGEMENT | Eesti Energia juht: andmekeskused on energiasüsteemile kasulikud ERR |
| 2026-10-20 | OTHER | Eesti Energia loobub 24,7 miljonist eurost, vesinikutaristu jääb ehitamata Majandus |
| 2026-10-06 | OTHER | Eesti Energia sai tingimusliku loa Narva kütmiseks põlevkiviõliga ERR |
| 2026-10-04 | OTHER | Eesti Energia endised tippjuhid lõid ettevõtte, kus töötavad vaid AI-agendid Äripäev · 1 more similar articles |
| 2026-10-02 | OTHER | Taavi Veskimägi: Eesti üks kallimaid otsuseid on olnud Eesti Energia erastamata jätmine Logistikauudised |

## 09 ESG report

### EXCLUSIONARY SCREENING (COMPANIES)

✓ **Yes, the company is not involved in excluded sectors: controversial and nuclear weapons, tobacco, gambling and restricted sectors in fossil fuel**
- No weapons, tobacco or gambling.
- Oil shale mining, shale oil and oil shale power – the SEB policy gives unconventional oil and gas a Baltic exception until 2030[28]
- Moody's expects oil shale power to end in 2030-2035[3].

✓ **Yes, the company does not have red flag/signal related to controversies based on UN Global Compact, OECD Guidelines for Multinational Enterprises or any other relevant principles/standards**
- No UN Global Compact or OECD related controversies found
- ISS found none in 2024[29].

✓ **Yes, the company is not in the list of sanctions (add a screenshot)**
- Not found on the EU, UN, UK, US OFAC consolidated sanctions lists (automatic check 2026-10-22).

– **Yes, issues were not identified from adverse media checks (add a screenshot)**
- Found: on 2025-05-07 prosecutors opened a criminal case over the special audit findings (possible damage to Enefit Power)
- No one has been charged.
- The Environmental Board fined Enefit Power EUR 190,000 and EUR 110,000 for air emission breaches[30].
- News summary 2026-07-25 – 2026-10-23: 6 articles, 0 with an adverse keyword in the headline (details in the section "In the press").

*In case any red flags, risks, unclarities were identified then additional checks (sanctions screening and adverse media checks) on the company's Ultimate Beneficial Owners and/or senior management shall be performed.*

**Additional comments:**

## ESG INTEGRATION AND POSITIVE SCREENING (POSITIVE ANSWERS IMPLY HIGHER ALLOCATION)

✓ **Yes, the company is promoting environmental or social characteristics (activities, ESG policy, good ESG rating, etc)**
- Fast wind and solar expansion (872 MW wind, 172 MW solar), a green finance framework with an ISS opinion[31,32].

✓ **Yes, the activities of the company or it's strategy is aligned with the taxonomy and/or Paris agreement targets (e.g. net zero commitment)**
- Targets: carbon-neutral electricity by 2045, Net Zero 2050[17,33].

– **Yes, the company does not have yellow flag/signal related to controversies based on UN Global Compact or any other relevant principles/standards**
- Yellow flag: the criminal case over the audit and environmental fines[30]
- Moody's ESG credit impact CIS-4, environmental E-4[20].

✓ **Yes, the company fulfills the expectations from SEB thematic and sector policies**

**Applicable**
- The Fossil Fuels[34] and Electricity & Renewable Energy[35] policies.

**Met**
- A transition plan (Strategy 2030+), emission targets[9,32].

**Could be improved**
- A firm oil shale exit date.

**Additional comments:**

## ENGAGEMENT

✓ **Is there a need for pro-active engagement with the company?**
- Worthwhile: the oil shale exit date, as the SEB Baltic exception for unconventional oil ends in 2030[28].

**Additional comments:**

## INDICATORS

✓ **Yes, the indicators of the company support the targets of sustainability and PAI indicators followed by the Fund**
- Renewable and non-renewable generation and emission caps are reported[36,16].

**Additional comments:**

**Conclusion:** No red flags, but oil shale activity is covered by the SEB Baltic exception only until 2030; yellow flag – the audit case and fines.

SEB policies applied: Policy on Sustainability Considerations in Investments (SEB AB); Fossil Fuels sector policy (coal, oil & gas, peat); Electricity & Renewable Energy sector policy; Environmental Policy on Climate, Nature and Water (thematic); Social and Human Rights Policy (thematic); Governance expectations in sector policies (anti-corruption, tax, reporting)

## 10 Sources


1. Moody's - Eesti Energia credit opinion update, p. 1, 11, 2026-04-13
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4. Fitch - Eesti Energia rating report, p. 1, 2025-07-22
5. Eesti Energia - Interim report Q2 2026 (unaudited, ET), p. 5, 2026-07-31
6. Eesti Energia - Annual report 2025 (unaudited), p. 8, 2026
7. Enefit - Investor page (bonds, financing), 2026-10-22
8. Eesti Energia - Annual report 2025 (unaudited), p. 8, 18, 2026
9. Eesti Energia - Strategy 2030+ press release, 2026-09-17
10. Eesti Energia - Interim report Q2 2026 (unaudited, ET), p. 30, 2026-07-31
11. Eesti Energia - Interim report Q2 2026 (unaudited, ET), p. 32, 2026-07-31
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15. Moody's - Eesti Energia credit opinion update, p. 3, 2026-04-13
16. ISS-Corporate - Second Party Opinion on the Green Finance Framework, p. 19-20, 2024-06-04
17. ISS-Corporate - Second Party Opinion on the Green Finance Framework, p. 18, 2024-06-04
18. Fitch - Eesti Energia rating report, p. 4, 2025-07-22
19. Moody's - Eesti Energia credit opinion update, p. 11, 2026-04-13
20. Moody's - Eesti Energia credit opinion update, p. 8, 2026-04-13
21. Eesti Energia - Interim report Q2 2026 (unaudited, ET), p. 12, 2026-07-31
22. Eesti Energia - Interim report Q2 2026 (unaudited, ET), p. 14, 2026-07-31
23. Eesti Energia - Interim report Q2 2026 (unaudited, ET), p. 15, 2026-07-31
24. Eesti Energia - Interim report Q2 2026 (unaudited, ET), p. 6, 2026-07-31
25. Eesti Energia - Interim report Q2 2026 (unaudited, ET), p. 8, 9, 2026-07-31
26. Majandus – Eesti Energia loobub 24,7 miljonist eurost, vesinikutaristu jääb ehitamata, 2026-10-20
27. ERR – Eesti Energia sai tingimusliku loa Narva kütmiseks põlevkiviõliga, 2026-10-06
28. SEB Sector Policy on Fossil Fuels (2026-04-23), p. 8-9, 2026-04-23
29. ISS-Corporate - Second Party Opinion on the Green Finance Framework, p. 21, 2024-06-04
30. ERR - Prokuratuur algatas Eesti Energia erikontrolli tõttu kriminaalmenetluse, 2025-05-07
31. Eesti Energia - Annual report 2025 (unaudited), p. 18, 2026
32. ISS-Corporate - Second Party Opinion on the Green Finance Framework, 2024-06-04
33. Moody's - Eesti Energia credit opinion update, p. 5, 2026-04-13
34. SEB Sector Policy on Fossil Fuels (2026-04-23), 2026-04-23
35. SEB Sector Policy on Electricity & Renewable Energy (2026-04-23), 2026-04-23
36. Eesti Energia - Interim report Q2 2026 (unaudited, ET), p. 5, 16, 2026-07-31


Report prepared from public sources. Figures are as published by the issuer; small numbers next to the text point to the source list.